

ELEMENTS OF BUSINESS

BUSINESS AREAS/FUNCTIONS COVERED:

- Marketing and Sales
- Competition
- Pricing
- Distribution



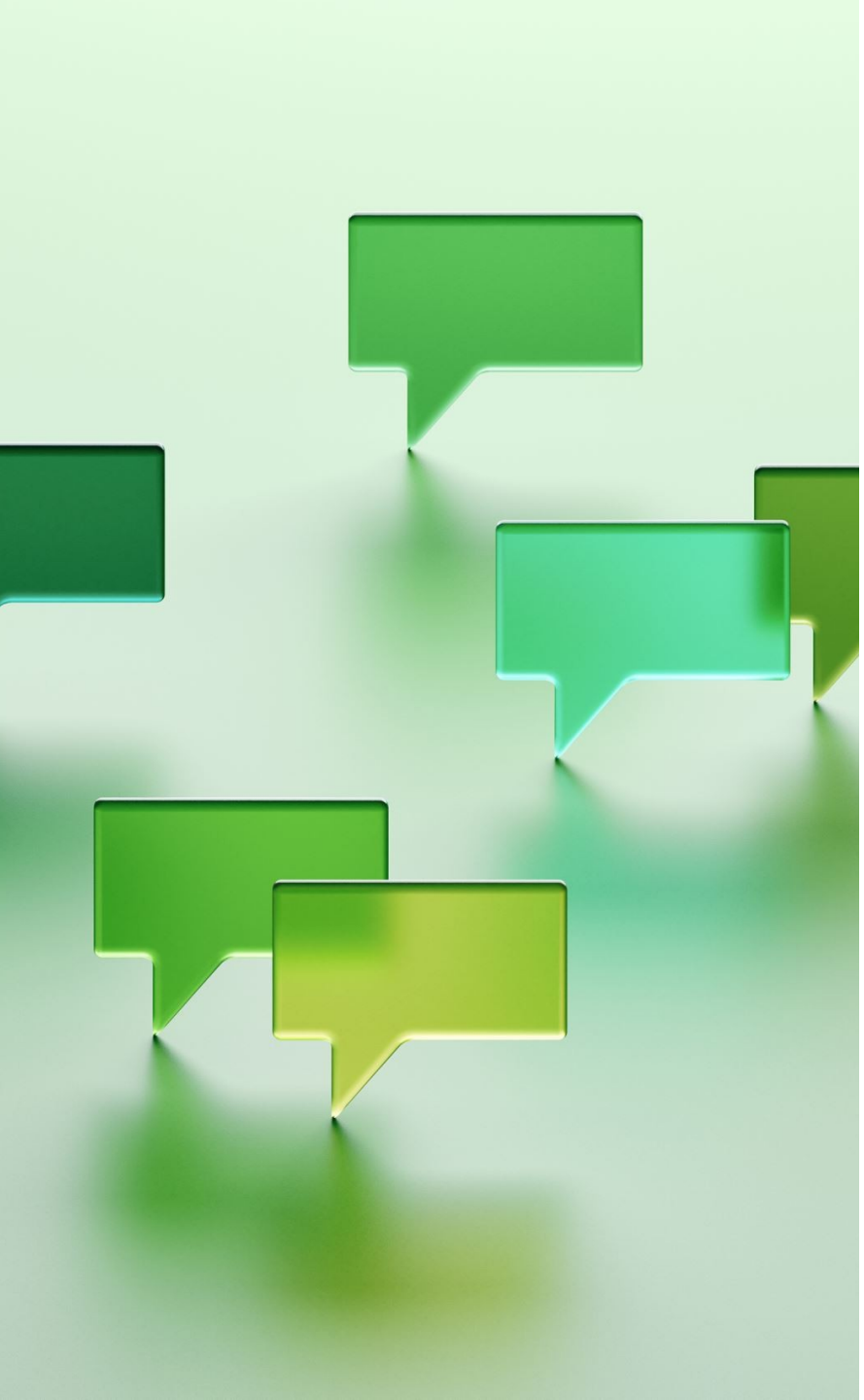

MARKETING AND SALES



AN INTRODUCTION TO MARKETING AND SALES

Objectives:

- Understand what marketing and sales are and how they differ.
- Learn key concepts and the marketing mix (4Ps).
- Explore the customer journey and sales process.
- Recognize how marketing and sales work together.



WHAT IS MARKETING?

Marketing is the process of identifying, anticipating, and satisfying customer needs profitably.

Key Points:

- Focuses on understanding the customer.
- Involves research, communication, and value creation.
- Includes activities such as advertising, branding, and market analysis.

Example: Apple markets its products by emphasizing lifestyle and innovation.



• THE MARKETING MIX (4PS)

1. **Product –** What are you selling?

   (features, design, quality)

2. **Price –** How much will customers pay?

   (value perception, competition)

3. **Place –** Where will it be sold?

   (online, retail, distribution)

4. **Promotion –** How will people know about it?

   (advertising, PR, social media)

MARKET SEGMENTATION

Division of the market into specific, as uniform as possible customer groups with the aim of tailoring market research and sales to their needs (division of the overall market into similar buyer groups)

1. Regional segmentation	City/countryside, large cities/small towns, Climate, population density, degree of development, infrastructure
2. Demographic segmentation	Age, gender, marital status, nationality, level of education
3. Consumer types	Bargain hunters, health-conscious, brand conscious, fashion pioneers, big spenders, savers
4. Personality factors	Lonely, followers, sociable, outgoing, travellers, sporty, sensual, comfortable, romantic
5. Social classes	Upper/Middle/Lower etc



WHAT IS ‘SALES’?

Definition: Sales is the process of persuading potential customers to purchase a product or service.

Key Points:

- Focuses on closing deals and generating revenue.
- Relies on building trust and addressing customer needs directly.
- Often involves personal interaction (B2B meetings, calls, demos).

Example: A salesperson helping a customer choose the right laptop based on their needs.

THE SALES PROCESS

Typical Stages:

- Prospecting – Identifying potential customers.
- Approach – Making contact.
- Presentation – Demonstrating value.
- Handling objections – Addressing concerns.
- Closing – Finalizing the sale.
- Follow-up – Building long-term relationships.

(Customer relationship management (CRM) tools are often used to help track and manage this process.

MARKETING VS. SALES

Marketing	Sales
Creates awareness and interest	Converts interest into purchases
Long-term focus	Short-term focus
Mass communication	Personal interaction
Strategy-oriented	Action-oriented

•**Connection:** Marketing generates leads; sales converts them into customers.

THE CUSTOMER JOURNEY

Stages: Awareness → Interest → Consideration → Purchase → Loyalty

Marketing Role: Drives awareness and interest.

Sales Role: Converts consideration to purchase.

Post-Sale: Customer service fosters loyalty and repeat business.



Customer Journey Funnel Template

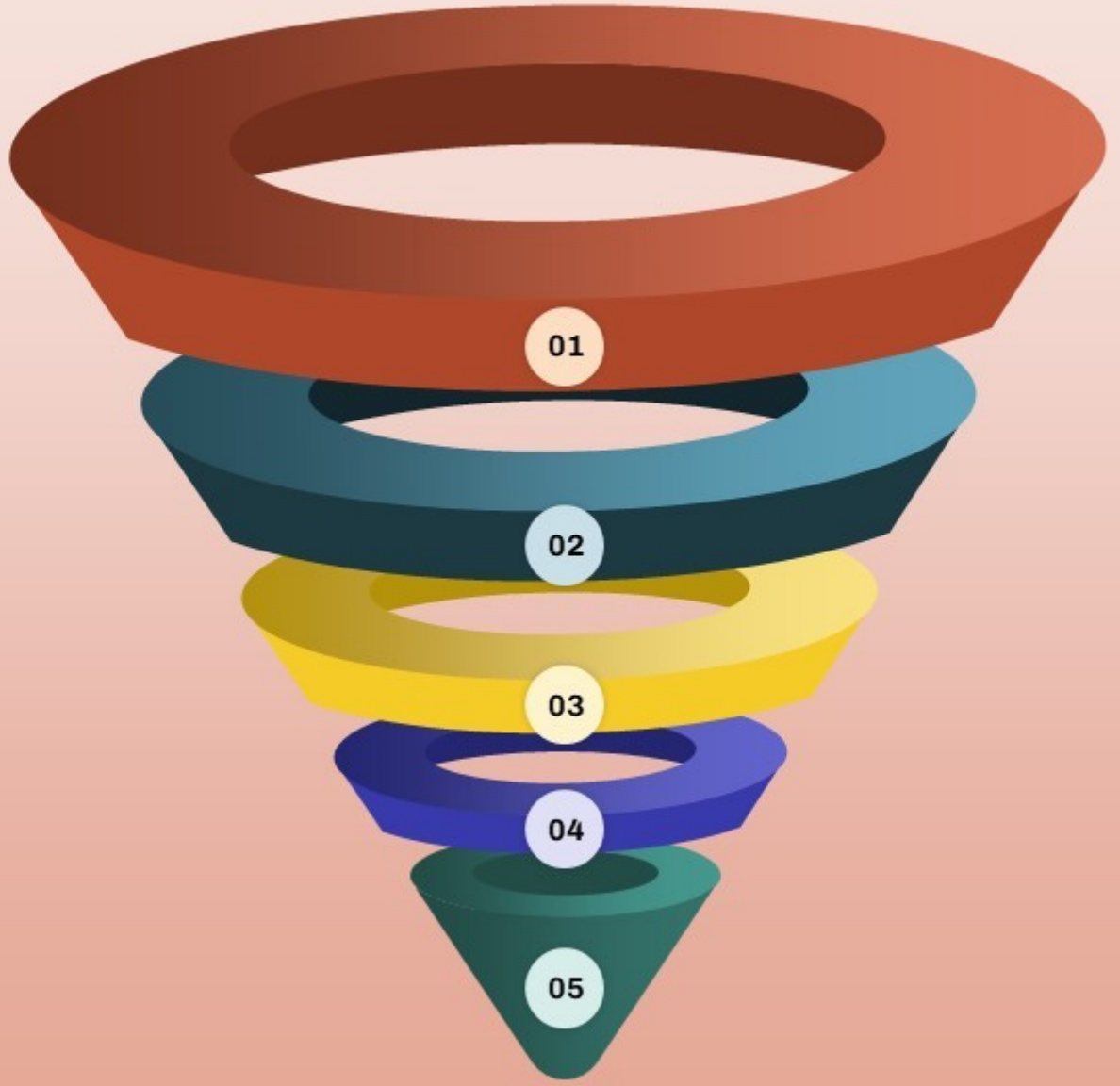
Build Awareness
Awareness is the first step where potential customers learn about your brand through advertising, social media, or word of mouth.

Drive Discovery
In this stage, customers actively search for solutions, and your visibility in search engines and online platforms becomes crucial.

Enable Evaluation
Here, customers evaluate your offerings by comparing features, reviews, and testimonials to make informed decisions.

Simplify Purchase
This is where customers complete their transaction. A smooth checkout experience ensures satisfaction and reduces drop-offs.

Enhance Loyalty
Post-purchase, providing excellent service and engaging customers builds trust and long-term relationships with your brand.





COMPETITION AND COMPETITIVE STRATEGIES



PORTERS FIVE FORCES

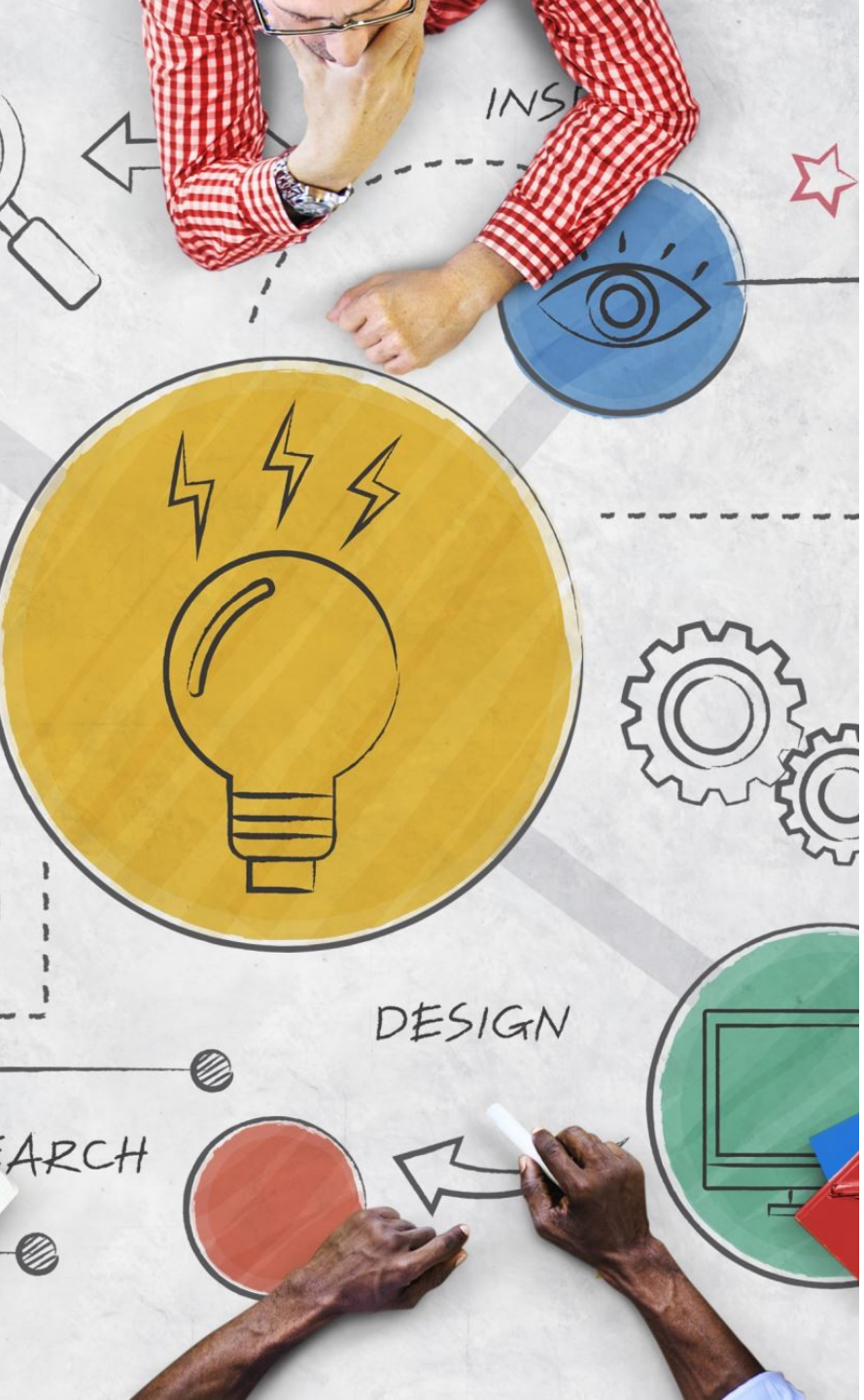


COMPETITIVE STRATEGY: COST LEADERSHIP

Basic idea: Gain a competitive advantage through relative cost advantages and lower prices

Reasons for cost savings:

- Economies of scale
- Degression of production costs
- Synergy effects
- Learning and experience curve effects
- Cheaper sources of supply
- Lower distribution costs
- Better cost control
- Efficient training procedures
- Necessary condition: price sensitivity of customers, acceptable alternative product



COMPETITIVE STRATEGY DIFFERENTIATION

Basic idea: Gain a competitive advantage through better customer value

Possible approaches:

- Product features (e.g. sizes, delivery system)
- Product-related services (e.g. guarantees, repair service)
- Outstanding quality
- Marketing method – attractive brand, brand image

Necessary condition: Higher willingness to pay for better (or better perceived) products



COMPETITIVE STRATEGY FOCUS

Basic idea: Gain a competitive advantage by focusing on niches

Possible areas of focus:

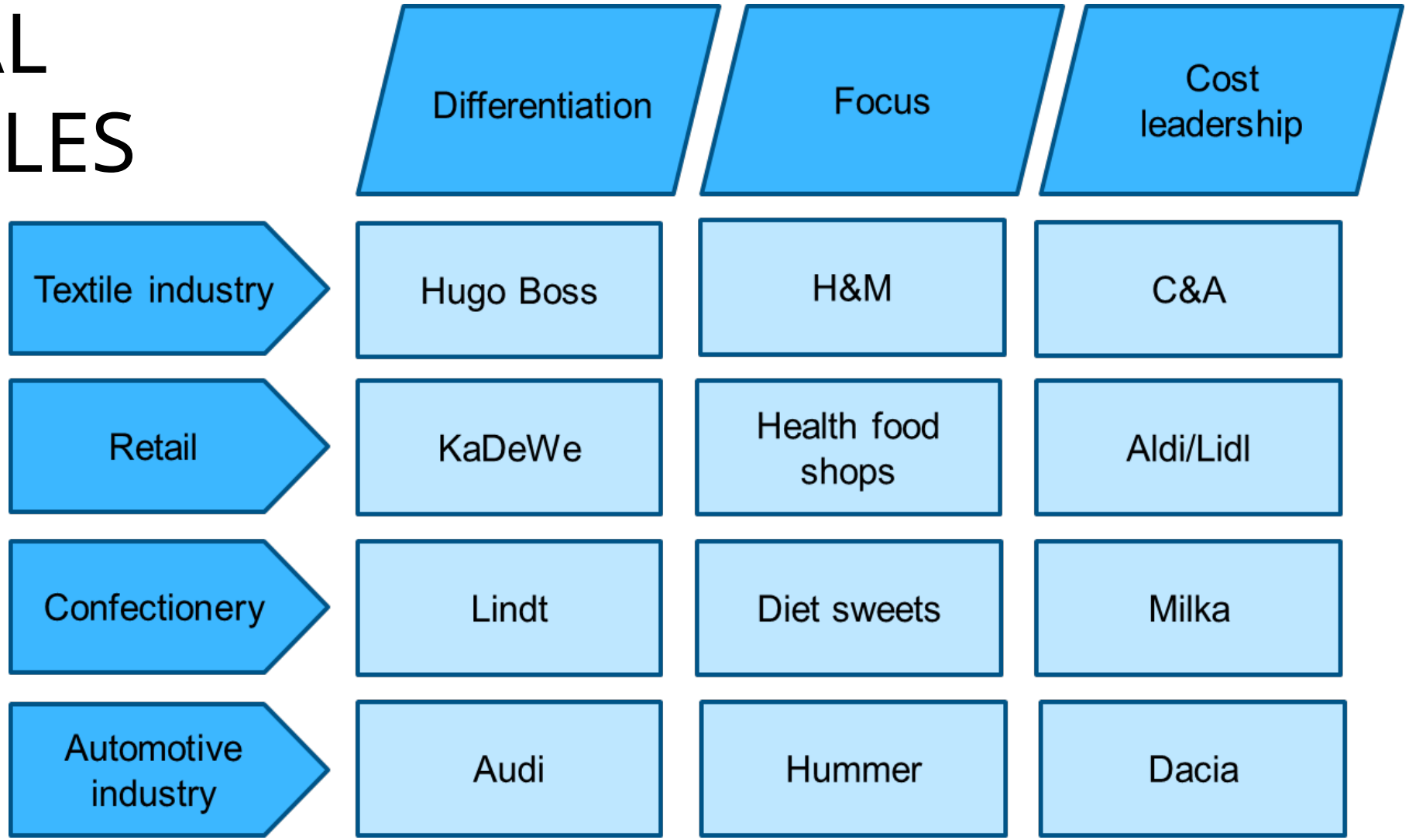
- On customer groups
- on part of the product range
- On a geographical area

Necessary condition: segmentable niches can be better served individually

"Stuck in the middle" phenomenon: expensive but insufficiently differentiated products

Cost leadership and differentiation strategy as alternative hypotheses - "Quality has its price"

TYPICAL EXAMPLES





PRICING POLICY



All decisions in the sales programme that serve to shape the price-performance ratio in a customer- and target-oriented manner.

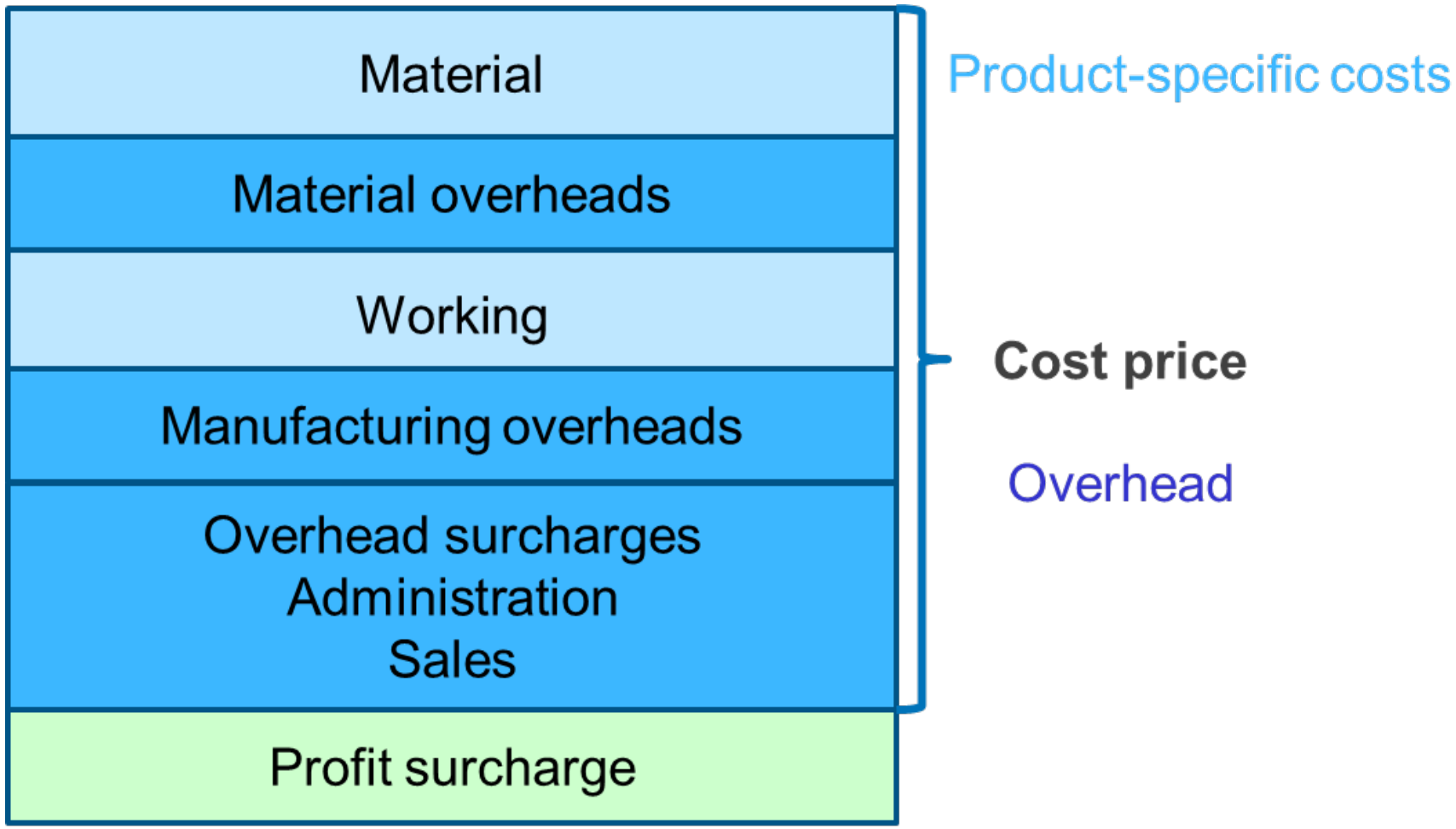
Occasions

Price setting for new products

- Price adjustments due to market/company conditions (in particular, optimal price ratio between products in a product line)

Lower price limit:

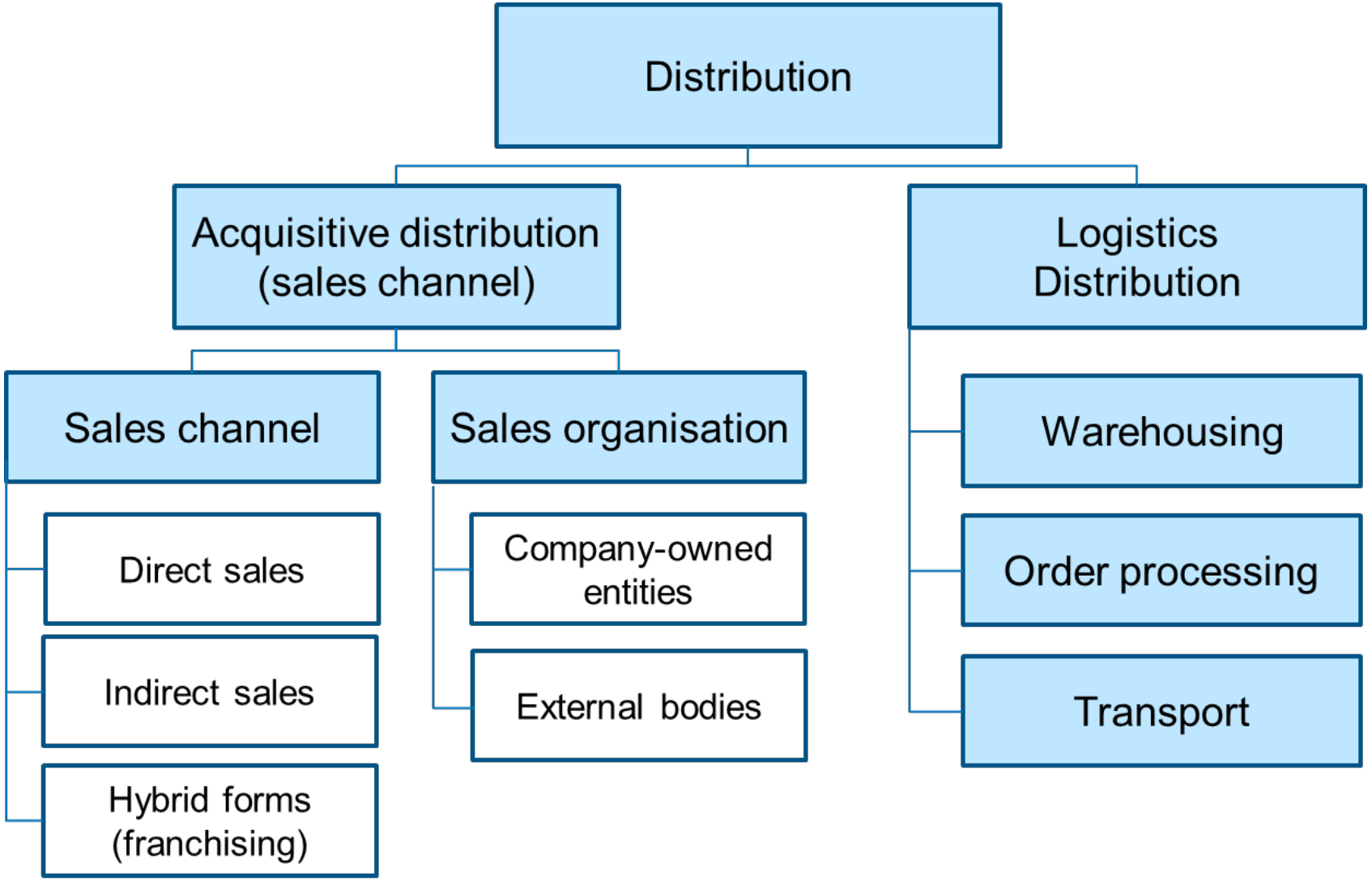
- In the long term, cover all costs incurred and generate profit above and beyond this
- In the short term, break even, e.g. to
  - Introduce a new product or tap into a new market
  - Price in a temporary marketing campaign coordinated with other marketing instruments (promotion)
  - Counteract decline in demand due to economic slowdown



PRICE CALCULATION

DISTRIBUTION POLICY





DISTRIBUTION - PROVISION OF GOODS

Criterion	Examples	
Product-related factors	Need for explanation Shelf life Sensitivity to transport	Value Scope of additional services
Customer-specific factors	Number Geographical distribution	Frequency of demand Purchasing habits
Competition-related factors	Type of competing products (degree of product differentiation)	Competitors' distribution channels Market form (number of competitors)
Company-related factors	Size of the company (turnover) Product range (type and number of products) Existing sales organisation	Available capital (scope of trading function) Marketing concept (differentiation from competitors)
Sales agent-related factors	Existing sales organisation Capacity of sales intermediaries	Costs incurred through the involvement of sales intermediaries Complementary and substitute products of sales intermediaries
Environmental factors	Economic situation Social trends (e.g. expansion of Internet sales)	Legal regulations Ecological considerations

FACTORS INFLUENCING SALES CHANNELS